income poverty and Low BMI among women (thin) shows that the states Himachal Pradesh and Andhra Pradesh which registered low-income poverty shows high proportion of thin women. Hence, we can conclude that the non-income poverty indicators are important to analyse poverty status of the state.

21.8 INCLUSIVE GROWTH

Inclusive growth is the growth that not only creates new economic opportunities, but also ensures equal access to the opportunities created for all segments of society, particularly for the poor. The OECD defines inclusive growth as economic growth that creates opportunity for all segments of the population and distributes the dividends of increased prosperity, both in monetary and non-monetary terms, fairly across society.Thus, Inclusive growth is the process that focuses on both creating opportunities rapidly and making them accessible to all including the disadvantaged.

The traditional view suggests that inequality is inherent in the process of growth. During structural transformation of the growth process certain sectors benefit more from the process than other sectors that lag behind. So, in the initial period growth leads to rise in inequality. But subsequently, the benefits of growth percolates down to the lagging sectors leading to a more equitable growth outcome. This process is visible in 'Kuznet curve' where inequality first rise and then fall. However, this process was not found to be true in India as increase in growth rate did not result in a decrease in inequality.

The country has grown strongly since the economic reforms of the early 1990s, with growth averaging around 7 percent during 1993-94 and 2009-10 and 6.7 per cent during the period 2010 to 2016.Compared with other countries at similar level of development, in India, inequality is not only very high, but has also shown a rising trend over time, particularly since the early 1990s. While the rate of rise in inequality seems to have slowed down after 2004-05, it continues to show a rising trend. Inequality in India is about education, health, nutrition, sanitation, and opportunities as much as it is about rising income inequality. Some of the plausible reasons could be rapid growth in GDP, liberal and expansionary fiscal policy, large public debt, rapid improvement in technology and the changes in the nature of production using more capital, increasing share of services in GDP, unfavourable policies and institutions, etc. Besides this, the country has a high level of horizontal inequalities based on caste, class, religion, race, gender, and location. A commonly used indicator of inequality is the Gini index, which varies from zero (in a context of perfect equality) to one (perfect inequality).By this measure, inequality declined between 1983 and 1993–94 but rose appreciably in thefollowing decade after the onset of reforms in 1991.

Considering the widening disparities in the form of surging income inequality, inequality in opportunities (including on access to education, health and financial services/inclusion), unemployment, poverty and other forms of social deprivations– policies aiming towards inclusive growth becomes imperative. Universal access to education and health services, access to financial services, new technologies, gender equality and more equal distribution of resources can all support inclusive economic development. The inclusive growth has been extensively reflected in different plan period in India. The 11^{th} Plan defines inclusive growth to be "a growth process which yields broad-based benefits and ensures equality of opportunity for all". Likewise, the basic objective as stated in the 12^{th} five-year plan was "Faster, More Inclusive and Sustainable Growth".We have seen progress on inclusiveness:Agricultural Growth, Poverty Reduction, Education, Health, Upliftment of SCs /STs etc. However, progress on inclusiveness is less than expected. It can be apprehended from different aspects. India missed achieving many indicators of Millennium Development Goals (MDG). In the literacy front the goal of increasing literacy among backward classes and other weaker sections has not been achieved. Agriculture growth is still in vulnerable conditions. The employment schemes like MGNREGS are not upto the mark. There are many plans, policies, schemes but their implementation is not according to their expected level.

21.9 INCLUSIVE GROWTH – POLICY IMPLICATIONS

Agricultural Development

Agriculture development should be given priority. The recent trend shows that the contribution of agricultural sector to total GDP has reduced from 44.6 per cent to 17.2 per cent from the year 1958-59 to 2008-09 and to 16.5per cent in 2019-20.On the other hand the absorption of labour in the agricultural sector has not reduced much during the same period. This emphasises show that the pace of reduction of contribution to GDP by agricultural sector is extremely high as compared to pace of reduction of workforce in agricultural sector. Hence there is a need to develop the agricultural sector by way of irrigation and water management, credit, research and extension, marketing etc.Land and water management (including watershed development) are crucial for agriculture development. Development of agro-based industries in rural areas has not only expanded the scope of employment but also reduced the heavy dependence on agricultural sector.

Rural Non-farm Employment opportunities

The Rural Non-Farm Sector (RNFS) encompasses all non-agriculture activities: mining and quarrying, household and non-household manufacturing, processing, etc. Rural non-farm economy, is considered as an effectual strategy for decentralisation of economic activities to rural India in order to check for unregulated migration, bridge rural-urban divide, generate employment, reduce inequalities, etc. According to different international studies on India's labour market, between 2011 and 2015, thenumber of agriculture jobs fell by 26 million while non-farm ones rose by 33 million.However, the sector has been contending with a number of factors like inadequate rural infrastructure, particularly roads, electricity and communication facilities, lack of sufficient skilled labour and adequate access to credit, information and training facilities, etc. Thus, heavy investments are needed for inclusive, sustainable and diversified rural development along with the right governance system.

Financial Inclusion

Financial Inclusion is the availability of financial services and timely and adequate credit at an affordable cost to the disadvantaged and low-income groups. Financial inclusion can help in achieving development goals such as poverty eradicationand income equality, food security and sustainable agriculture, supporting infrastructure and industries, better healthcare, encouraging increased consumption and savings, reduction in unemployment and sustainable economic growth. Financial inclusion has been ensured by the government and the central bank by way of – no frills accounts with low or zero minimum balances and minimum charges to expand outreach of such accounts to low-income groups, easier credit facilities, simpler KYC norms, use of information and technology, expansion of electronic benefit transfer system, business correspondence model, bank branch and ATM expansion, financial literacy and credit counselling, etc. Yet a large part of the Indian population remains excluded from the formal banking sector. Rapid urbanisation is increasing the rate of urban poor who are devoid of the most basic banking facilities. Also, people working in the informal sector still remain outside the rings of the formal financial system. Thus, much needs to be done in the financial inclusion space in order to ensure inclusive growth.

Public Investment

High investment in infrastructure is important for inclusive growth. In many developing countries it is visible that public expenditure as percentage of GDP is low and declining. Public investment in rural development has declined sharply. Consequently, agricultural growth slowed down in India. Priority to public investment in physical (irrigation, roads, communications, transport, electricity, etc.) and human infrastructure (health, education, etc.) is considered as one of the important factors resulting in inclusive growth.

Public Finance and Tax Policies

Taxes provide the primary source of financing for public expenditure in public education, healthcare, job creation and the overall social welfare. Taxes are also the financial backbone for social security networks and basic welfare, providing essential support to poor people against unexpected risks and preventing them from falling back into poverty during difficult times. Hence, progressive tax policies are central to fostering a fairer distribution of income and wealth.

Development of Institutions

Development of new institutions and strengthening the present institutions of service delivery are important. Several institutions seemed to have failed in delivering better services particularly in health and education in rural areas.

Institutions seem to be responsive when women are empowered. Decentralisation in terms of strengthening Panchayati Raj Institutions (PRIs) has to be improved in order to have better delivery systems.

Social Protection

The social protection system can play an important role in mitigating poverty and inequality through redistribution. This also helps to give the platform to the excluded section of the society. India has implemented a plethora of poverty alleviation programmes to address the issue of poverty and inequality. Most important programme is Public Distribution System (direct food subsidy), Indira AwasYojana (Housing for poor) and direct cash transfer through the programmes like old age pension scheme, widow pension scheme, disability pension scheme, national family benefit schemes, etc. Some other programmes are also incentive based for example, incentives for institutional delivery, incentives for family planning, etc. For some of the educational development programmes like scholarship, free distribution of books, cycle, dresses, midday meal, etc. are implemented.

From time to time the central and state governments implement different employment generation programmes which provides the minimum livelihood for rural and urban poor. The National Rural Employment Guarantee Act (NREGA) 2005, passed by the Government of India in August 2005, is a unique programme implemented by central government which guaranteed one hundred days of unskilled work per year on public works programmes to each rural Indian providing guaranteed employment entitled by law. Now, within fifteen days of a valid application, the government must provide work or unemployment allowance.

Check Your Progress 2

1) What is the concept of inclusive growth?

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

2) State how social protection can play an important role in mitigating poverty and inequality.

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

……………………………………………………………………………………

21.10 LET US SUM UP

The unit deals with the nature and dimension of poverty and inequality, and how the inclusive growth addresses these two issues. In general sense, poverty implies the lack of income/expenditure and the access to basic needs like food, shelter, drinking water, health, etc.

Poverty is measured by the methods like head count ratio, poverty gap index, squared poverty gap index by taking into consideration the income/expenditure. Several other non-income dimensions also play a major role in determining the level of poverty. The rate of poverty in India shows a declining trend from 1973-74 to 2011-12. High growth with inequality is a common phenomenon in developing countries. How to tackle this lopsided growth with inequality is the major challenge. The inequality is measured by different methods like range, range ratio, coefficient of variation, and most importantly Lorenz curve. In India high inequality is found both in the income and expenditure and also in other non-income variables like IMR, underweight of child, literacy rate, etc. Even geographical inequality also exists.

Malnutrition which is measured by the anthropometric indicator for children below 5 years and anaemia are the important indicators to show the poverty level of a state. It was found that a state having low proportion of head count poverty does not necessarily guarantee low prevalence of malnutrition among children and women. Hence for any policy analysis the malnutrition indicators need be taken into account.

Inclusive growth not only creates new economic opportunities, but also ensures equal access to the opportunities created for all segments of society, particularly for the poor. Creating opportunity, equalising opportunity and providing the safety net are the main pillars of inclusive growth.

21.11 TERM-END EXERCISES

1) What do you mean by poverty? Explain the indicators that cover income and non-income dimensions of poverty.

2) What do you mean by inequality? How are the inequalities of income measured in an economy? Also state the different indicators that cover inequality in non-income aspects of life.

3) Examine the policy implications of widespread poverty and inequality in the Indian economy.

4) "The quality of life in India is far from satisfactory." Comment.

5) What is multidimensional poverty and how is it calculated?

21.12 KEYWORDS

Poverty Line : Poverty line is the income/expenditure cut-offs used to identify the poor from non-poor. This is the minimum requirement of an individual for a healthy living. The minimum requirement can include both food and non-food items.

Head Count Ratio : This is the simplest measures of calculating the incidence of poverty. This is the proportion of the population that is counted as poor. In other words the incidence of poverty is defined as the proportion of poor to the total population.

$$PovertyHCR = \frac{Number of people below poverty line\ (Np)}{Total population\ (N)} \times 100$$

Poverty Gap Index : This is a measure to identify the incidence as well as severity of poverty which derived from income or expenditure distribution. This measure shows how below the income/consumption from poverty line.

Capability poverty measures : This is a multi-dimensional measure of human deprivation developed by UNDP. The indicator of this measure is the lack of being well nourished and healthy, the lack of capability for healthy reproduction, and the lack of capability to be educated.

Lorenz Curve : This is a graphical representation of the proportionality of a distribution. This is often associated with income distribution calculations and commonly used in the analysis of inequality.

21.13 REFERENCES

1) Dev, S.Mahendra and C.Ravi. (2007). "Poverty and Inequality: All India and States, 1983-2005", *Economic and Political Weekly*, Vol.42, No.6.

2) The World Bank. (2006). "*India Inclusive Growth and Service Delivery: Building on India's Success"* Development Policy Review, Report No. 34580-IN.

3) Ifzal Ali and Hyun Hwa Son. (2007). "Measuring Inclusive Growth", *Asian Development Review,* vol. 24, no. 1, pp.11-31.

4) World Bank Institute. (August 2005).*"Introduction to Poverty Analysis."*

5) Amitabh Kundu and K. Varghese. (September 2010).*"Regional Inequality and 'Inclusive Growth' in India under Globalization: Identification of Lagging States for Strategic Intervention",*Oxfam India working papers series, OIWPS – VI.

6) Planning Commission. (2002).*"National Human Development Report",* Government of India.

7) Government of India. (1993).*Report of the Expart Group on Estimation of Proportion and Number of Poor",* Perspective Planning Division, Planning Commission, New Delhi.

8) Government of India. (2009).**"***Report of the Expert Group toReview the Methodology forEstimation of Poverty***,**Planning Commission.

9) Ian MacAuslan. (2008).*"India's National Rural Employment Guarantee Act: A Case Study for How Change Happens"* From poverty to Power background paper, Oxfam International.

10) Catherine Barber. (2008). "*Notes on Poverty and Inequality" From poverty to Power background paper,* Oxfam International.

11) Stephen P. Jenkins and Philippe Van Kerm. (2008). "*The Measurement of Economic Inequality"* Oxford Handbook on Economic Inequality edited by Brian Nolan, WiermerSalverda and Tim Smeeding.

12) Savita Sharma. (2004).*"Poverty Estimates in India: Some Key Issues",*ERD Working Paper No. 51, Asian Development Bank.

13) SandipSarkar, Sunil Mishra, HarishwarDayal and Dev Nathan (2006). '*Development and Deprivation of Scheduled Tribes', Economic and Political Weekly'*.

14) United Nations Development Programme (2010). Human Development Report 2010', UNDP, New York, USA.

15) Sainath, P, *"Everybody Loves a Good Drought: Stories from India's Poorest Districts"*, Penguin Books India (P) Ltc., New Delhi-17.

16) Joseph Gastwirth, Reza Modarres, EfstathiaBura (2005). "*The use of the Lorenz curve, Gini index and related measures of relative inequality and uniformity in securities law"*METRON - *International Journal of Statistics*vol. LXIII, n. 3, pp. 451-469.

17) Klasen, S., and H. Waibel (Eds). (2012). Vulnerability to Poverty-Theory, Measurement, and Determinants. Palgrave Macmillan.

18) Clark, D., and D. Hulme. (2010). Poverty, Time and Vagueness: Integrating the Core Poverty and Chronic Poverty Frameworks. Cambridge Journal of Economics, 34(2): 347–366. doi:10.1093/cje/ben046.

19) OPHI (2020). 'Global MPI Country Briefing 2020: India (South Asia)', Oxford Poverty and Human Development Initiative (OPHI), University of Oxford downloaded from https://ophi.org.uk/wp-content/uploads/CB_IND_2020.pdf.

21.14 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) The PG index is helpful in working out the shortfall of consumption below the poverty line. It will indicate the magnitude of the effort that would be required to raise the consumption level of all the persons below the poverty line to the consumption level of the poverty line.

2) Human Development Index and Human Poverty Index.

3) See Sub-section 21.3.2

4) See Section 21.4

Check Your Progress 2

1) See Section 21.8

2) See Section 21.9

APPENDIX 21.1

Table 1: Proportion of Population below Poverty Line in Major States(2004-05 and 2011–12)

States	2004–05			2011–12			Difference		
	Rural	Urban	Total	Rural	Urban	Total	Rural	Urban	Total
Andhra Pradesh	32.3	23.4	29.6	11.0	5.8	9.2	21.3	17.6	20.4
Arunachal Pradesh	33.6	23.5	31.4	38.9	20.3	34.7	-5.3	3.2	-3.3
Assam	36.4	21.8	34.4	33.9	20.5	32.0	2.5	1.3	2.4
Bihar	55.7	43.7	54.4	34.1	31.2	33.7	21.6	12.5	20.7
Chhattisgarh	55.1	28.4	49.4	44.6	24.8	39.9	10.5	3.7	9.5
Delhi	15.6	12.9	13.0	12.9	9.8	9.9	2.7	3.1	3.1
Gujarat	39.1	20.1	31.6	21.5	10.1	16.6	17.6	10.0	15.0
Haryana	24.8	22.4	24.1	11.6	10.3	11.2	13.2	12.1	12.9
Himachal Pradesh	25.0	4.6	22.9	8.5	4.3	8.1	16.5	0.3	14.8
Jammu & Kashmir	14.1	10.4	13.1	11.5	7.2	10.4	2.6	3.2	2.8
Jharkhand	51.6	23.8	45.3	40.8	24.8	37.0	10.8	-1.0	8.3
Karnataka	37.5	25.9	33.3	24.5	15.3	20.9	13.0	10.7	12.4
Kerala	20.2	18.4	19.6	9.1	5.0	7.1	11.1	13.4	12.6
Madhya Pradesh	53.6	35.1	48.6	35.7	21.0	31.7	17.9	14.1	17.0
Maharashtra	47.9	25.6	38.2	24.2	9.1	17.4	23.7	16.5	20.9
Odisha	60.8	37.6	57.2	35.7	17.3	32.6	25.1	20.3	24.6
Punjab	22.1	18.7	20.9	7.7	9.2	8.3	14.4	9.5	12.6
Rajasthan	35.8	29.7	34.4	16.1	10.7	14.7	19.8	19.0	19.7
Tamil Nadu	37.5	19.7	29.4	15.8	6.5	11.3	21.7	13.2	18.1
Uttar Pradesh	42.7	34.1	40.9	30.4	26.1	29.4	12.3	8.0	11.5
Uttarakhand	35.1	26.2	32.7	11.6	10.5	11.3	23.5	15.7	21.4
West Bengal	38.2	24.4	34.2	22.5	14.7	20.0	15.7	9.7	14.2
All-India	**41.8**	**25.7**	**37.2**	**25.7**	**13.7**	**21.9**	16.1	12.0	15.3

Note: Figures are based on Tendulkar Methodology; All-India includes figures for rest of the UTs.

Sources: Press Note on Poverty Estimates, 2009–10, Planning Commission, Government of India website (http://planningcommission.nic.in/news/press_pov1903.pdf,accessed on 4 April 2013); Press Note on Povery Estimates, 2011–12, Planning Commission, Government of India website (http://planningcommission.nic.in/news/pre_pov2307.pdf, accessed on 26 August 2013).

Table 2: Percentage of children under age five years classified as malnourished according to three anthropometric indices of nutritional status: height-for-age, weight-for-height, and weight-for-age, according to state, India, 2005-06

State	Height-for-age (Stunting)	Weight-for-height (Wasting)	Weight-for-age (Underweight)
Andhra Pradesh	42.7	12.2	32.5
Assam	46.5	13.7	36.4
Bihar	55.6	27.1	55.9
Chhattisgarh	52.9	19.5	47.1
Gujarat	51.7	18.7	44.6
Haryana	45.7	19.1	39.6
Himachal Pradesh	38.6	19.3	36.5
Jammu & Kashmir	35	14.8	25.6
Jharkhand	49.8	32.3	56.5
Karnataka	43.7	17.6	37.6
Kerala	24.5	15.9	22.9
Madhya Pradesh	50	35	60
Maharashtra	46.3	16.5	37
Odisha	45	19.5	40.7
Punjab	36.7	9.2	24.9
Rajasthan	43.7	20.4	39.9
Tamil Nadu	30.9	22.2	29.8
Uttar Pradesh	56.8	14.8	42.4
Uttarakhand	44.4	18.8	38
West Bengal	44.6	16.9	38.7
India	48	19.8	42.5

Table 3 :Statewise IMR, 2006 and 2010

State	2006			2010		
	Male	Female	Person	Male	Female	Person
Delhi	36	39	37	30	37	29
Haryana	57	58	57	48	51	38
Himachal Pradesh	45	55	50	40	41	29
Jammu & Kashmir	51	53	52	43	45	32
Punjab	39	50	44	34	37	28
Rajasthan	65	69	67	55	61	31
Uttarakhand	42	44	43	38	41	25
Chhattisgarh	59	62	61	51	52	44
Madhya Pradesh	72	77	74	62	67	42
Uttar Pradesh	70	73	71	61	64	44
Bihar	58	63	60	48	49	38
Jharkhand	46	52	49	42	44	30
Odisha	73	74	73	61	63	43
West Bengal	37	40	38	31	32	25
Assam	67	68	67	58	60	36
Gujarat	52	54	53	44	51	30
Maharashtra	35	36	35	28	34	20
Andhra Pradesh	55	58	56	46	51	33
Karnataka	46	50	48	38	43	28
Kerala	14	16	15	13	14	13
Tamil Nadu	36	37	37	24	25	22
India	56	59	57	46	49	47

Source: Economic Survey 2011-12; Sample Registration System 46; Dec. 011, Office of Registrar General, Ministry of Home Affairs

Table4: Percentage of births delivered in a health facility five years preceding the survey by state, India, 2005-06

States		Mothers' Education				
	Total NFHS 3	No Education	< 8 years Complete	8-9 years Complete	10 years Complete and above	NFHS-2
Andhra Pradesh	64.4	46.9	76.8	85	90.8	49.8
Assam	22.4	9.8	16.7	32.5	71.2	17.6
Bihar	19.9	12.6	28.3	45.6	64.6	14.8
Chhattisgarh	14.3	5.5	12	26	67.2	13.8
Gujarat	52.7	38.4	53.5	68.6	83	46.3
Haryana	35.7	14.6	38	43.6	69.6	22.4
Himachal Pradesh	43	19	28.4	37.5	61.2	28.9
Jammu & Kashmir	50.2	40.7	52.1	65.5	81.7	35.7
Jharkhand	18.3	8.2	18.5	46.7	68.8	13.9
Karnataka	64.7	36.7	68.5	82.3	89.5	51.1
Kerala	99.3	*	98.8	99.5	99.7	92.9
Madhya Pradesh	26.2	37.7	58.4	71.8	89.6	52.6
Maharashtra	64.6	17.3	33.6	39.3	79.9	22
Odisha	35.6	14.8	48.8	61.6	74.1	22.6
Punjab	51.3	30.8	41.5	54.2	78.1	37.5
Rajasthan	29.6	20.6	45.8	60.2	78.9	21.5
Tamil Nadu	87.8	79.3	90.1	88.6	96.7	79.3
Uttar Pradesh	20.6	13.6	23.2	29.1	59.2	15.2
Uttarakhand	32.6	15.6	30.8	25.3	71.2	20.6
West Bengal	42	22.9	45.8	64.2	89.5	40.1
India	38.7	19.8	45.7	57.8	80.6	33.6